

CAPITAL MARKETS

Treasury Two-Year Yields Hit 2025 High: CRE's Cost of Time Just Rose Again

Oil-driven rate spike tests refinancing math for floating-rate borrowers and extends the bid-ask standoff.

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A source-grounded Light Tower Insight.

The Treasury two-year yield climbed to its highest level since early 2025 this week, pushed by a jump in oil prices tied to renewed tensions in Iran. The headline reads like a macro tremor. For commercial real estate capital markets, it is a direct and measurable cost increase for anyone carrying floating-rate debt or planning a refinancing before year-end.

The two-year yield is not a distant benchmark. It is the pricing anchor for most floating-rate commercial mortgages, the reference point for interest rate caps, and the discount rate against which short-duration real estate investments are judged. When it rises, the cost of time goes up for every borrower whose loan reprices off SOFR plus a spread.

The immediate trigger is oil. But the mechanism that matters for CRE is the market's repricing of Fed policy expectations. Higher oil feeds inflation fears. Inflation fears push forward rate expectations higher. And higher forward rates compress the window in which a borrower with a 2026 or 2027 maturity can lock a fixed-rate takeout at a cost that still allows the asset to cash flow.

This is not a repeat of 2022, when the Fed was hiking from zero and the shock was absolute. The two-year yield is now moving from an already elevated base. The marginal increase matters more because leverage is already compressed, debt service coverage is already thin on many transitional assets, and the bid-ask spread on transactions is already wide.

Consider the arithmetic. A 50-basis-point increase in the two-year yield, if transmitted into floating-rate loan pricing, adds roughly \$50,000 in annual interest cost per \$10 million of debt. For a multifamily asset with a 1.25x debt service coverage ratio, that can push coverage below 1.15x, which is the threshold where many agency and bank lenders require additional reserves or equity cures.

The market should not read this as a signal that the Fed will necessarily hike again. The Fed has signaled patience. But the bond market is doing the tightening for it. Higher front-end

yields tighten financial conditions without a single FOMC statement. That is the mechanism that matters for CRE: the cost of carry is rising through the market's own pricing, not through a policy announcement.

For owners with floating-rate debt, the clock just got a little shorter. Every basis point increase in the two-year yield raises the cost of extending a loan or buying a new interest rate cap. Cap prices, which had been declining from their 2023 peaks, will likely stabilize or rise again if the forward curve steepens. Borrowers who waited to buy caps may now face a higher cost for the same protection.

For lenders, the signal is about credit risk, not just spread income. A higher risk-free rate means a higher all-in cost for the borrower. That increases the probability of payment default on loans that were underwritten at lower rate assumptions, particularly on assets where rent growth has slowed or expenses have risen. Lenders will respond by tightening underwriting, demanding lower leverage, or requiring more interest rate hedging upfront.

For buyers and sellers, the rate move widens the bid-ask spread. Sellers who were waiting for rates to fall to justify their pricing are now waiting longer. Buyers who need debt to close are facing higher costs, which compresses the returns they can offer their equity partners. The transaction market, which had been showing signs of thawing in the first half of 2026, may see another pause as the cost of capital reprices.

The conventional reading of this story is that oil and geopolitics are driving rates. That is true but incomplete. The CRE-relevant interpretation is that the cost of time is rising again, and that rising cost will accelerate the separation between assets that can carry their debt and assets that cannot. The market is not about to break. It is about to bifurcate further.

What should a market participant test next? Owners with floating-rate maturities in the next 12 months should model their refinancing at current forward rates, not at the lower rates they hoped for in January. Lenders should stress their floating-rate portfolios at a two-year yield 50 basis points higher than today. Buyers should assume that debt costs will not decline

meaningfully in the near term and underwrite accordingly.

The two-year yield is not a forecast. It is a price. And that price just told the CRE capital markets that time is not getting cheaper.